

bottoms of the left shoulder, the head and the right shoulder. When prices break through this neckline and keep on falling after forming the right shoulder, it is the ultimate confirmation of the completion of the Head and Shoulders Top

Formation. It is quite possible that prices pull back to touch the neckline before continuing their

Declining trend.

Head and shoulders bottom

This formation is simply the inverse of a Head and Shoulders Top often indicates a change in the trend and the sentiment. The formation is upside down in which volume pattern is different from a Head and Shoulder Top. Prices move up from first low with increase volume up to a level to complete the lefts Shoulder formation and then falls down to a new low. It follows by a recovery move that is marked by somewhat more volume than seen before to complete the head formation. A corrective reaction on low volume occurs to start formation of the right shoulder and then a sharp move up that must be on quite heavy volume breaks though the neckline.

Another difference between the Head and Shoulders Top and Bottom is that the Top Formations are completed in a few weeks, whereas a Major

Bottom (Left, right shoulder or the head) usually takes alonger, and as observed, may prolong for a period of several months or sometimes more than a year.